

NextEra Energy, Inc.

NEE NYSE

|     |                 |                              |                                    |                         |
|-----|-----------------|------------------------------|------------------------------------|-------------------------|
| Buy | \$86.75 ▲ 1.19% | 12M Price Target<br>\$102.00 | 52-Week Range<br>\$67.20 – \$98.75 | Market Cap<br>\$180.93B |
|-----|-----------------|------------------------------|------------------------------------|-------------------------|

NEE: Reiterate Buy; Renewable Tailwinds and AI Power Demand Anchor Thesis

WHAT'S CHANGED

- NEE closed +1.19% to \$86.75, outperforming the broader tape (Zacks: "NEE Laps the Stock Market"), with prior session volume spiking to 19.3M shares — nearly 2x the 10-day average, suggesting institutional accumulation near 52-wk midpoint (62% of range).
- Options flow decisively bullish: P/C ratio 0.29 with unusual \$87 June call activity (1,727 contracts, 2x OI) signaling near-term upside positioning into summer load season.

IMPLICATIONS

The constructive coverage cluster around NEE, Vistra, Constellation, and AES reflects renewed investor focus on power-generation names as AI/data center electricity demand accelerates — a thematic tailwind in which NEE's 38GW renewable backlog and FPL regulated franchise are uniquely positioned. With no SEC filings and a benign news flow, price action and options skew are the cleanest signals, both pointing to institutional buyers stepping in. The Motley Fool long-duration framing reinforces NEE's status as the default core utility holding for growth-oriented income mandates.

VALUATION

At \$86.75, NEE trades at ~23.8x FY26E EPS of \$3.65 and ~14.2x EV/EBITDA — a premium to regulated utility peers (DUK, SO at 18-20x) but justified by 6-8% rate base growth at FPL and the highest renewables development margin in the sector. Our \$102 PT (17.5% upside) applies 26x to FY27E EPS of \$3.98, reflecting multiple expansion as AI-driven power PPA economics flow into 2027 guidance. Downside risk is contained by the regulated cash flow floor.

KEY RISKS

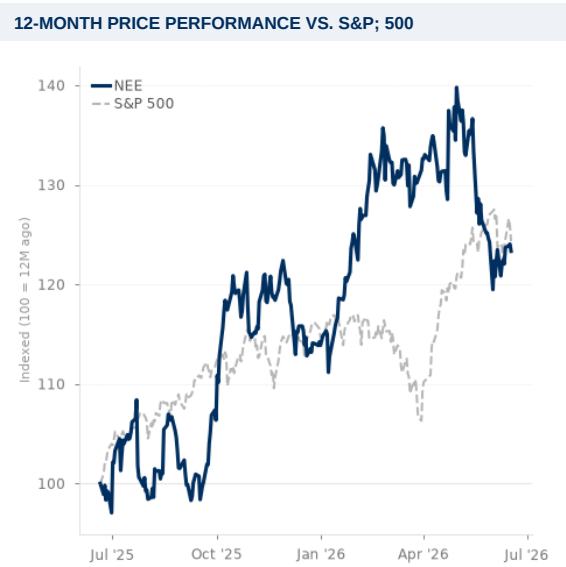
- Interest rate path: long-duration utility valuation sensitive to 10Y yield re-acceleration above 4.75%.
- Florida regulatory risk: FPL 2026 rate case outcome could compress allowed ROE.
- PTC/ITC policy: post-election renewable tax credit modifications would impact NEER project IRRs.

RECENT NEWS

Can Vistra Unlock More Value for Investors Through Share Buybacks? Zacks · 2026-06-19 13:40

AES Boosts Growth Through Renewable Energy and LNG Investments Zacks · 2026-06-19 12:22

| Key Data            |           |
|---------------------|-----------|
| Price (USD)         | \$86.75   |
| 12M Price Target    | \$102.00  |
| Upside / (Downside) | +17.6%    |
| Market Cap          | \$180.93B |
| FY2026E Revenue     | \$28,500M |
| FY2027E Revenue     | \$30,800M |
| FY2026E EPS         | \$3.65    |
| FY2027E EPS         | \$3.98    |
| Fwd P/E             | 23.8x     |



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$92.00   | \$88.00   | \$82.00   |
| 6 Months  | \$98.00   | \$92.00   | \$80.00   |
| 1 Year    | \$110.00  | \$102.00  | \$78.00   |
| 2 Years   | \$130.00  | \$115.00  | \$75.00   |
| 5 Years   | \$175.00  | \$145.00  | \$85.00   |
| 10 Years  | \$260.00  | \$200.00  | \$100.00  |

SECTOR INTELLIGENCE

**HOT SECTORS:** Utilities (power-gen), Independent Power Producers

**COLD SECTORS:** Traditional defensive utilities (water, gas LDCs)

**ROTATION WATCH:** Capital rotating from pure-play defensives into power-growth names (NEE, CEG, VST, AES) as AI data center capex visibility extends through 2028; expect continued bid into hybrid regulated-plus-renewables names.

**BYPRODUCT PLAY:** Grid infrastructure suppliers (transformers, transmission), nuclear SMR developers, and natural gas peakers benefit from same demand wave; uranium and LNG midstream are second-order beneficiaries.

OUTPERFORMERS & PEER CONTEXT

- CEG (Constellation Energy): Trefis flagged "stock surge" — nuclear baseload + hyperscaler PPAs driving multiple re-rating ahead of peers.
- VST (Vistra): Zacks coverage on buyback optionality; merchant power leverage to ERCOT scarcity pricing outpacing IPP sector.

**NEE CONTEXT:** NEE is participating in the power-demand rally but lagging pure-play merchants (CEG, VST) given its regulated mix; however, this same mix delivers superior risk-adjusted returns and is closing the relative gap as AI PPAs flow to NEER, the unregulated arm.

INVESTMENT STRATEGY

8/10 Conviction Score

**Position Size:** 3-5% of portfolio

**Entry Points:** \$82-85 on pullbacks

**Time Horizon:** 12-24 months

**Thesis Invalidation:** FPL ROE compression >100bps or FERC adverse ruling on renewable PTC

**Hedging:** Pair long NEE vs short XLU basket or DUK